Cipher Pharmaceuticals Inc. (TSX: CPH)

Company Update: FY2026E–FY2027E Revenue and EBITDA Forecast

29 October 2026. US$ millions unless stated; fiscal year ends 31 December. Includes a joint Finagle valuation. No rating and no price target. Forecast file: *forecasts/CPH/forecast.json*. Valuation result: *forecasts/CPH/collab/valuation_result_v01.json*. Tags resolve in Appendix B.

1. Summary

FORECAST UPDATE

■ **We forecast FY2026E revenue of $52.0 million, up 3.1%, and FY2027E revenue of $59.7 million, up 15% [E1][C13].** Cipher gave no revenue or profit range for 2026 [G1]. The totals are the Yahoo consensus, converted from Canadian dollars at 1.3622 per U.S. dollar [E1][C3]. A pull on 29 October 2026 matches the 22 October figures, so the path is unchanged [E2]. The product lines, built on their own, land more than 10% short of those totals in the second half of 2026 and again in FY2027E, and are scaled up to consensus.

■ **Natroba is still the largest line, at $29.0 million in FY2026E, 3.4% below FY2025A [C6][S1].** U.S. product revenue was $30.0 million in FY2025A, 59% of sales [A2][C16]. The first half of 2026 was down 8.7%, and the second quarter was down 19%, on fewer Medicaid patients [A6][A10]. We treat that loss as ongoing. FY2027E Natroba of $32.7 million is only a low-single-digit recovery before the scale-up to consensus, for the Walmart stocking program and the direct-to-patient effort [S2][G2].

■ **The Canadian portfolio is the growth line: $19.3 million in FY2026E and $23.3 million in FY2027E [C6][S4].** It was $16.9 million in FY2025A, 34% of sales [A2][C16]. Epuris volume and mix carried the latest quarter, and management expects public-plan listings after the July letter of intent with the pan-Canadian Pharmaceutical Alliance [G3][A6].

■ **Adjusted EBITDA is $31.1 million in FY2026E (59.7% margin) and $36.5 million in FY2027E (61.1% margin) [C11][S7][C12].** There is no EBITDA consensus [E1]. We hold cash operating cost at the second-quarter run rate of $2.9 million, after stripping stock compensation and a one-time acquisition cost, and we add 3% in FY2027E [C2][S7]. Finagle values the shares at $10.08 in the base case, against a $9.65 price, with $8.92 in the bear case and $11.53 in the bull case [D12].

Figure 1 shows a small revenue step in FY2026E and a wider one in FY2027E, with the margin still rising.

Figure 1 – Financial summary

US$M	FY2024A	FY2025A	FY2026E	FY2027E
Revenue	33.4	50.5	52.0	59.7
Growth	—	51.2%	3.1%	14.8%
Gross margin	72.2%	80.1%	81.2%	80.8%
Adj. EBITDA	15.7	28.1	31.1	36.5
EBITDA growth	—	78.9%	10.7%	17.4%
EBITDA margin	47.0%	55.6%	59.7%	61.1%

Source: 2025 annual report and Q2 2026 report [A1][A3][A4][A5]; consensus [E1]; our estimates [C9][C10][C11][C12][C13][S7]. May not sum due to rounding.

2. Business Description and Reporting Lines

Cipher is a specialty pharmaceutical company. It acquires products, takes them through development and approval, and sells them in Canada, the United States and South America [D11]. It reports one segment and breaks revenue into geography and type [A2]. We use three lines that add to the total: Natroba in the United States, the Canadian product portfolio, and U.S. licensing.

- **Natroba (U.S. product).** Spinosad, and its authorized generic, for head lice and scabies. Cipher bought the product from ParaPRO in July 2024 and sells it through its own U.S. channel [D13][A2]. Revenue is product sales, not a royalty.

- **Canadian product portfolio.** Epuris (isotretinoin) is the lead product, with Actikerall, Brinavess, Aggrastat, Vaniqa and Durela [A2]. Cipher sells these itself in Canada. Epuris is priced in Canadian dollars [S3].
- **U.S. licensing.** Royalties and product shipments on Absorica and Lipofen. Cipher keeps half of licensing revenue on the products covered by the Galephar agreement and pays the other half to Galephar, which reduces reported licensing revenue [D2].

Figure 2 shows that Natroba was more than half of FY2025A revenue.

Figure 2 – Revenue by line, FY2025A

Line	US$M	Share
Natroba (U.S. product)	30.0	59.4%
Canadian product portfolio	16.9	33.5%
Licensing (U.S.)	3.6	7.0%
Total	**50.5**	**100%**

Source: 2025 annual report, segment note [A2][C16]. May not sum due to rounding.

3. Management

Craig Mull has been interim chief executive and chair since 29 July 2019, when he replaced Robert Tessarolo [D9][D7]. The company said then that it had started a search for a permanent chief executive [D9]. He is still interim [D2]. Before Cipher he was chief operating officer, vice president and director of corporate development at CML Healthcare from 1989 to 2004, and a sales and marketing manager at Baxter [D7]. He founded Typhon Group, a Toronto-area real estate developer, and holds an HBA from Ivey [D7][D8].

As of 2 May 2025 he controlled 10,384,697 common shares, 40.5% of the 25,622,940 shares then outstanding (derived) [D7][C15]. He takes no cash salary as interim chief executive. He is paid in shares for that role and in cash directors' fees as chair [D2].

The capital-allocation record we can see is the Natroba purchase, the debt paydown, and the buyback. Cipher drew $40 million in July 2024 to fund Natroba and had repaid all of it by 30 June 2026, including $5 million on 30 March 2026 [D2]. The prior normal-course issuer bid bought 532,940 shares for $5.4 million [D3]. A new bid, approved 1 May 2026, allows purchases of up to 1,490,343 shares through 4 May 2027. None were bought in the first half of 2026 [D2]. In the second quarter the company walked away from an acquisition it described as advanced [G5]. The record on a second large deal is still open.

4. Key Developments

The items that change the next two years are the Medicaid volume loss, the Epuris public-plan letter, the confirmed Sun award, and a balance sheet with no drawn debt. Figure 3 lists them.

Figure 3 – Key developments

Date	Event
26 Jul 2024	Natroba acquired from ParaPRO; $40 million drawn on the credit facility [D13][D2]
28 Jan 2026	Health Canada accepted the Natroba new drug submission for review [D2]
30 Mar 2026	Final $5 million of the revolver repaid [D2]
1 May 2026	New issuer bid: up to 1,490,343 shares through 4 May 2027 [D2]
6 Jul 2026	Letter of intent with the pan-Canadian Pharmaceutical Alliance for Epuris [D3][G3]
12 Aug 2026	Q2: revenue $12.1 million, down 10%; adjusted EBITDA $6.8 million [D3][A7]
12 Aug 2026	Acquisition process abandoned; other targets still being assessed [G5]
1 Sep 2026	New York court confirmed the Sun arbitration award [D11]
21 Sep 2026	Rajiv De Silva appointed to the board [D10]

Source: company filings and releases [D2][D3][D10][D11][D13][G5].

What matters for the forecast is the Medicaid loss, which we treat as permanent, and the Epuris listings, which we treat as the source of Canadian growth [A10][G3]. The Sun award is not in the numbers. The court confirmed compensatory damages of CAD 4.242 million, a 15% royalty on Absorica LD net sales in Canada from 1 January 2026 through 31 December 2040, and a portion of legal costs, plus 9% interest [D11]. At 30 June 2026 Cipher still carried the award as a contingent asset and recognized nothing [D2]. Absorica LD sales in Canada are not

disclosed, so we do not phase the royalty. Health Canada's review of Natroba for Canada is also unweighted: acceptance for review is not an approval [D2].

5. Business Drivers by Line

Natroba (59% of FY2025A). This line is volume. The company attributes the 2026 decline to fewer patients covered by Medicaid, not to a price cut [A10]. Gross margin on the line was 86% for the first half and 84% in the second quarter [A9]. Management said expectations for the product have not changed and that performance should improve as the Walmart stocking program and a direct-to-patient channel take effect [G2]. No dollar cost for those programs was given. We do not rebound the second half to flat. We carry the first-half decline of 8.7% into the second half, and we allow only a low-single-digit recovery in FY2027E before scaling to consensus [S1] [S2].

Canadian portfolio (34%). The driver is Epuris volume and mix. Market share of Epuris was 47.1% at 30 June 2026, down from 51.3%, but management said share had increased through the year to date [G3]. The second quarter grew 11.8% [S3]. Product-listing agreements were expected within 30 to 60 days of the 12 August call [G3]. We have no later filing that says they are signed. We hold the latest growth rate into the second half and use a 10% step in FY2027E for a first full year of broader public coverage [S3][S4]. The price is in Canadian dollars, and we assume the exchange rate stays at the rate used to convert consensus [S3][C3].

U.S. licensing (7%). Shipments to partners move around from quarter to quarter [G4]. The first half was up 2%, so we treat the second-quarter dip as timing and hold the second half flat at last year's second half [S5][A6]. FY2027E is down 10% before scaling, because Absorica's competitive position has already cut volumes and its market share was 3.4% [S6]. The Galephar split is already inside reported licensing revenue [D2].

6. Risks

Medicaid volume. Natroba's 2026 decline is a coverage loss, not a one-quarter shipment delay [A10]. If the covered population keeps shrinking, the low-single-digit FY2027E recovery does not happen. Natroba is 59% of FY2025A revenue [C16].

Public-plan timing. The Canadian step-up depends on provinces listing Epuris. The letter of intent does not force a province to list, and each plan can add conditions [D2]. A delay pushes the FY2027E Canadian number back toward the FY2026E run rate.

Consensus gap. The lines do not earn the consensus total on their own commentary. More than 10% of FY2026E second-half revenue, and a larger share of FY2027E, is the scale-up to the Street rather than a driver we can name [E1]. If the Street is high, both years are high.

Sun award and Natroba in Canada. The confirmed damages and the Absorica LD royalty are upside we do not model [D11]. So is a Health Canada approval of Natroba, which is only at the review stage [D2]. Either could lift revenue without a change in the U.S. Medicaid trend.

Industry and regulatory. Dermatitis and lice products face generic and branded competitors, and Absorica already shows that in a 3.4% share [S6]. Canadian public prices and U.S. Medicaid coverage are set outside the company. A minimum purchase of Natroba active ingredient is about $1.6 million in 2026 and about $2.5 million in 2027 [D2]. That is a cash commitment, not a revenue guarantee.

7. Forecast

How the evidence becomes the numbers

Cipher published no range, so there is no placement inside a guide [G1]. Yahoo's revenue consensus is the total for both years [E1]. It was checked again on 29 October 2026 and had not moved [E2]. There is no EBITDA estimate, so EBITDA is built from gross margin and the cash cost of the latest quarter [C2][C11]. Figure 4 maps each piece of evidence to the assumption it sets.

Figure 4 – Evidence → assumption → forecast impact

Evidence	Assumption	Effect
No 2026 range [G1]	Totals equal consensus [E1]	FY2026E revenue $52.0 million; FY2027E $59.7 million
Consensus re-pull [E2]	Path unchanged	No revision on 29 October 2026
Medicaid patient loss [A10]	Second-half Natroba does not rebound [S1]	Natroba FY2026E $29.0 million, below FY2025A
Walmart and direct-to-patient, no dollars [G2]	Low-single-digit Natroba recovery in FY2027E [S2]	Natroba FY2027E $32.7 million after scaling
pCPA letter; listings expected [G3]	Canada holds the latest growth, then steps up [S3][S4]	Canada $19.3 million, then $23.3 million
Partner shipments vary [G4]; Absorica share 3.4% [S6]	Licensing flat, then lower [S5][S6]	Licensing about $3.8 million in both years
Line build short of consensus [E1]	Lines scaled up to the Street	Allocates a total the lines did not earn
Q2 cash cost $2.9 million [C2]	Cost flat in FY2026E, plus 3% in FY2027E [S7]	EBITDA $31.1 million, then $36.5 million
Sun award confirmed, sales not disclosed [D11]	Left out of revenue	Upside not in the path
Deal did not close [G5]	Organic path; no future deal [S10]	No acquired EBITDA in the growth rates

Source: filings, the Q2 call, consensus and our estimates [G1][G2][G3][G5][A10][E1][E2][S1][S7][S10][D11][C2].

Base case

Gross margin stays at the first-half line rates: 86% for Natroba and 71% for Canada [A9]. Licensing is the residual, 96% [C8]. The group margin moves only with mix. Cash operating cost is second-quarter selling, general and administrative expense of $3.439 million, minus stock compensation of $0.323 million and acquisition costs of $0.259 million, or $2.857 million [C2][A8]. Research and development was nil, and amortization sits below gross profit [A8]. That cost reconciles to reported second-quarter adjusted EBITDA [A7][C2]. No cost was announced for the new U.S. commercial programs, so none is added. Figure 5 is the base path.

Figure 5 – Base case by line

US$M	FY2024A	FY2025A	H1 2026A	H2 2026E	FY2026E	FY2027E
Natroba (U.S.)	12.0	30.0	13.2	15.8	29.0	32.7
Canadian portfolio	14.8	16.9	9.1	10.2	19.3	23.3
Licensing (U.S.)	6.6	3.6	2.3	1.5	3.8	3.8
Revenue	**33.4**	**50.5**	**24.6**	**27.4**	**52.0**	**59.7**
Growth	—	51.2%	—	—	3.1%	14.8%
Gross margin	72.2%	80.1%	81.4%	—	81.2%	80.8%
Adj. EBITDA	**15.7**	**28.1**	**14.6**	**16.5**	**31.1**	**36.5**
EBITDA margin	47.0%	55.6%	59.2%	—	59.7%	61.1%

Source: annual report and Q2 report [A1][A2][A4][A5][A6][A7]; consensus [E1]; our estimates [S1][S3][S5][C6][C10][C11][C12]. May not sum due to rounding.

8. Valuation

Finagle values the shares at $10.08 in the base case [D12]. The bear case is $8.92 and the bull case is $11.53 [D12]. The dividend-discount value equals the free-cash-flow value in each case, $10.08, $8.92 and $11.53 [D12]. No prompt input was stated. The request's `prompt_inputs` list is empty, and `post_finagle` is null, so there is no adjusted value [D12].

Finagle filled these leaves as assumptions: `baseline.nol`, `baseline.noa`, `rates.re`, `rates.gt`, `rates.roict`, `rates.t`, `rates.rd`, `forecast.dwc.mode`, `debt.mode`, `debt.leverage`, `debt.start_year`, `distribution.mode` [D12]. The horizon is 10 years [D12]. There are no sanity flags [D12]. Validation warnings, in the result's own words: for the base case, "average EBITDA growth is 14.1% and there are no acquisitions. If that growth includes acquired EBITDA, use an organic path and book the purchase price with acquisitions, or MnA stays zero" and "forecast evidence mentions acquisitions but the case has none, so MnA stays zero" [D12]. The bear case has only the second of those [D12]. The bull case repeats the second, and says "average EBITDA growth is 25.0% and there are no acquisitions. If that growth includes acquired EBITDA, use an organic path and book the purchase price with acquisitions, or MnA

stays zero" [D12]. The acquisition wording is the disclosure that the process did not close [G5]. MnA in the statement is zero [D12].

Fetched market inputs, all from Yahoo on 29 October 2026: price US$9.65, a risk-free rate of 5.045%, and 25.415 million shares [D12]. The unrounded price is 13.5 Canadian dollars times 0.714745 [D12]. Finagle commit `f00ccb27943c7e5d4fd8f4b4d41352060acbe216`. The run was at 5:50 p.m. Toronto time on 29 October 2026 [D12].

Method. Finagle discounts free cash flow to equity at the cost of equity. It takes the explicit revenue and EBITDA growth as given for two years (FY2026E and FY2027E), then extends that path for eight further years, through FY2035E, using the ending margin, the incremental margin and the following year's sales growth, fading toward terminal growth [D12]. The terminal value uses the free cash flow of the year after FY2035E [D12]. Terminal growth is Finagle's default, equal to the 10-year yield. We did not set it. Free cash flow to equity is positive in every year of all three cases, so the result has no negative-cash-flow year [D12].

Figure 7 is the inputs behind the three values. The same market inputs and defaults apply to all three cases. The operating leaves differ.

Figure 7 – Valuation inputs

Input	Base	Bear	Bull	Where it came from
Cost of equity	10.5%	10.5%	10.5%	Finagle default: 5.5 points over the 10-year yield [D12]
Cost of debt	21.2%	21.2%	21.2%	Finagle assumption: year-0 interest divided by year-0 debt [D12]
Tax rate	21%	21%	21%	Finagle assumption: US federal statutory rate [D12]
Terminal growth	5.0%	5.0%	5.0%	Finagle default: the 10-year yield [D12]
Shares (millions)	25.4	25.4	25.4	Yahoo, fetched [D12]
Price (US$)	9.65	9.65	9.65	Yahoo previous close, converted [D12]
Year-0 debt	5.5	5.5	5.5	Yahoo Total Debt [D12]
Year-0 cash	7.5	7.5	7.5	Yahoo [D12]
Ending margin (me)	61.1%	56.9%	63.9%	Forecast file [C14]
Incremental margin (mc)	70.9%	68.1%	72.4%	Forecast judgment [S8]
Next sales growth	5.0%	5.0%	5.0%	Forecast judgment [S9]
Terminal WACC	10.7%	10.7%	10.7%	Finagle output [D12]
Value per share	10.08	8.92	11.53	Finagle output [D12]

Source: *valuation_result_v01.json* [D12]; forecast leaves [C14][S8][S9]. Full precision is in Appendix B.

The ending margin is FY2027E adjusted EBITDA divided by FY2027E revenue [C14]. The incremental margin is the average of that ending margin and the FY2027E gross margin [S8]. The next sales growth, 5%, is a judgment that coverage gains and the Natroba channel work support mid-single-digit growth after FY2027E, and that the FY2027E growth rate itself is flattered by the scale-up to consensus [S9]. Cost of equity, terminal growth and the 15% terminal return on capital are Finagle defaults, not choices in the forecast file [D12]. Because no debt policy was stated, Finagle set debt to a target of year-0 debt over year-0 EBITDA, 0.21x, from the first forecast year [D12]. The Q2 report shows the revolver at $5.0 million on 31 December 2025 and at zero on 30 June 2026 [D2]. Yahoo's year-0 debt is $5.5 million [D12]. Year-0 interest is $1.2 million, Yahoo's net interest income with the sign flipped, which matches the annual report's interest expense (income) of $1.165 million [D12][D1]. Divided by year-0 debt, that is the 21.2% cost of debt [D12].

Figure 8 splits the equity value into the forecast years and the terminal value. The split is our arithmetic on Finagle's cash flows and is marked derived [C17]. The value per share is Finagle's, not ours [D12].

Figure 8 – Value bridge

US$M, except per share	Base	Bear	Bull
PV of FY2026E–FY2035E free cash flow to equity (derived)	119	109	131
PV of terminal value (derived)	129	110	154
Terminal share of equity (derived)	52%	50%	54%
Equity value	249	219	286
Firm value	254	225	291
Year-0 debt	5.5	5.5	5.5
Year-0 cash	7.5	7.5	7.5
Value per share (US$)	10.08	8.92	11.53
Price (US$)	9.65	9.65	9.65
Vs. price (derived)	+4.5%	−7.6%	+20%

Source: *valuation_result_v01.json* [D12]; bridge split [C17]. May not sum due to rounding. Firm value minus debt plus cash is not equal to equity value; the two are discounted on different rates [D12].

About half of base equity value is the terminal value [C17]. Figure 9 is Finagle's base-case statement. The value per share in FY2025A, $10.08, is the result. Later years in that row are Finagle's rolled value, not a second target [D12]. Cash taxes flip from a $10.2 million benefit in FY2025A to an expense from FY2026E, because the model applies the 21% rate after year 0 [D12]. The cash row keeps rising after FY2025A while Finagle's balance-sheet cash goes to zero; the dividend row is the payout [D12].

Figure 9 – Finagle valuation table, base case, FY2025A–FY2030E

CPH.TO. Price US$9.65. Shares 25.4 million. Cost of equity 10.5%. Cost of debt 21.2%. Tax rate 21%. Terminal growth 5.0% [D12].

US$M	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	50.5	52.0	59.7	62.7	65.8	69.1
EBITDA	25.8	28.6	33.6	35.7	37.9	40.3
Stock comp	1.7	1.9	2.3	2.4	2.6	2.7
Interest	1.2	1.2	1.3	1.5	1.6	1.7
Pre-tax income	15.7	18.1	21.5	22.8	24.3	25.9
NOL	0.0	0.0	0.0	0.0	0.0	0.0
Cash taxes	−10.2	3.8	4.5	4.8	5.1	5.4
Capex	0.2	1.1	5.7	7.5	9.3	11.3
M&A	0.0	0.0	0.0	0.0	0.0	0.0
Working capital	0.0	0.0	0.0	0.0	0.0	0.0
Debt change	0.0	0.6	1.1	0.5	0.5	0.5
FCF	32.9	20.6	19.8	19.5	19.3	19.1
FCFE	32.9	21.2	20.9	20.0	19.8	19.6
FCFF	33.8	21.5	20.9	20.7	20.6	20.5
Firm value	254	260	267	275	283	293
Debt	5.5	6.1	7.2	7.6	8.1	8.6
EV	254	260	267	275	283	293
Equity	249	254	260	267	275	285
Cash	7.5	28.7	49.6	69.6	89.4	109
Dividend per share (US$)	1.29	0.83	0.82	0.79	0.78	0.77
WACC	10.7%	10.7%	10.7%	10.7%	10.7%	10.7%
Value per share (US$)	10.08	9.98	10.21	10.50	10.83	11.20

Source: Finagle base-case statement in *valuation_result_v01.json* [D12]. May not sum due to rounding.

Figure 9 (continued) – Finagle valuation table, base case, FY2031E–FY2035E

US$M	FY2031E	FY2032E	FY2033E	FY2034E	FY2035E
Revenue	72.6	76.3	80.1	84.1	88.4
EBITDA	42.7	45.3	48.0	50.9	53.9
Stock comp	2.9	3.0	3.2	3.4	3.6
Interest	1.8	1.9	2.0	2.2	2.3
Pre-tax income	27.6	29.4	31.3	33.3	35.3
NOL	0.0	0.0	0.0	0.0	0.0
Cash taxes	5.8	6.2	6.6	7.0	7.4
Capex	13.3	15.5	17.8	20.2	22.7
M&A	0.0	0.0	0.0	0.0	0.0
Working capital	0.0	0.0	0.0	0.0	0.0
Debt change	0.5	0.6	0.6	0.6	0.6
FCF	18.9	18.7	18.4	18.2	17.9
FCFE	19.4	19.2	19.0	18.8	18.6
FCFF	20.3	20.2	20.1	19.9	19.7
Firm value	304	317	331	346	364
Debt	9.1	9.7	10.2	10.8	11.5
EV	304	317	331	346	364
Equity	295	307	321	336	352
Cash	128	148	167	186	204
Dividend per share (US$)	0.76	0.76	0.75	0.74	0.73
WACC	10.7%	10.7%	10.7%	10.7%	10.7%
Value per share (US$)	11.62	12.09	12.61	13.20	13.86

Source: Finagle base-case statement in *valuation_result_v01.json* [D12]. May not sum due to rounding.

Figure 10 – Bull and bear, key rows

US$M	Bear FY2025A	Bear FY2027E	Bear FY2035E	Bull FY2025A	Bull FY2027E	Bull FY2035E
Revenue	50.5	55.0	81.4	50.5	67.8	100
EBITDA	25.8	28.8	46.8	25.8	39.9	63.5
FCFE	32.9	18.9	15.8	32.9	23.5	22.1
Value per share (US$)	8.92	—	—	11.53	—	—

Source: Finagle bear and bull statements in *valuation_result_v01.json* [D12]. The value per share is the result for the case, not a figure that changes by year. May not sum due to rounding.

Figure 11 is omitted because no sensitivity run was requested.

Figure 12 – Scenarios vs. price

	Bear	Base	Bull
Value per share (US$)	8.92	10.08	11.53
Price (US$)	9.65	9.65	9.65
Vs. price (derived)	−7.6%	+4.5%	+20%

Source: *valuation_result_v01.json* [D12][C17].

The spread is the consensus range and the cost-inflation cases, run through the same Finagle horizon [E1][S7] [D12]. FY2026E barely moves. FY2027E is where the paths separate, and Finagle then carries that gap out to FY2035E [D12].

Caveats. This is not a price target. Yahoo's year-0 EBITDA is $25.8 million, rebuilt as operating income plus depreciation and stock compensation [D12]. The forecast grows the filing's adjusted EBITDA of $28.1 million [A4]. The growth rates in the request were computed off $28.1 million. Applied to $25.8 million they produce FY2026E EBITDA of $28.6 million in Figure 9, not the forecast's $31.1 million [D12][C11]. The tax rate is the 21% US statutory assumption [D12]. The annual report computes tax at a Canadian statutory rate of 26.5%, and it recognises a deferred tax asset for non-capital losses of $32.8 million [D1]. Finagle's tax-loss balance is zero because that balance is not in the Yahoo feed [D12]. About half of the base value is terminal [C17]. The cost of debt, 21.2%, is one year of net interest on the year-end debt balance, not the credit-facility margin, and the model keeps a debt target of 0.21x even though the revolver was undrawn at 30 June 2026 [D12][D2]. The Sun damages, the Absorica LD royalty and a Canadian Natroba approval are not in the operating path [D11][D2].

Share count is Yahoo's 25.4 million, not the 25.6 million in the May 2025 circular [D12][D7]. Distribution mode `none` pays each year's free cash flow to equity out as a dividend [D12].

Appendix A – Bull and Bear Cases

The bear case uses the low end of the consensus range, the second-quarter line gross margins of 84% and 70%, and an 8% rise in cash operating cost in FY2027E [E1][A9][S7]. The bull case uses the high end of the range, the first-half margins, and no cost inflation in FY2027E. The story is the same three lines. Figure 6 is the result.

Figure 6 – Bull and bear cases

US$M	Bear FY2026E	Bear FY2027E	Base FY2026E	Base FY2027E	Bull FY2026E	Bull FY2027E
Revenue	51.6	55.0	52.0	59.7	52.3	67.8
Gross margin	80.4%	79.3%	81.2%	80.8%	81.2%	80.8%
Adj. EBITDA	30.3	31.3	31.1	36.5	31.3	43.4
EBITDA margin	58.8%	56.9%	59.7%	61.1%	59.9%	63.9%

Source: forecast file scenarios [E1][A9][S7][C11]. May not sum due to rounding.

FY2026E barely moves across the range, because the consensus range is tight [E1]. FY2027E is where the cases separate: the Street's high estimate is $67.8 million of revenue against a low of $55.0 million [E1]. We do not have a separate bull story for a Canadian Natroba launch or for the Sun royalty. Both would sit outside Figure 6.

Appendix B – Numbered sources

Documents

- **D1.** Cipher Pharmaceuticals, 2025 Annual Report (MD&A and audited financial statements), March 2026: https://www.cipherpharma.com/wp-content/uploads/2026/03/Cipher-Annual-Report-2025.pdf
- **D2.** Cipher Pharmaceuticals, Quarterly Report Q2 2026, filed August 2026: https://www.cipherpharma.com/wp-content/uploads/2026/08/Cipher-Quarterly-Report-Q2-2026.pdf
- **D3.** Cipher Pharmaceuticals, "Cipher Pharmaceuticals Reports Second Quarter 2026 Results," 12 August 2026: https://www.newswire.ca/news-releases/cipher-pharmaceuticals-reports-second-quarter-2026-results-817186565.html (HTML; no page numbers)
- **D4.** Q2 2026 earnings call transcript, 12 August 2026, stockanalysis.com: https://stockanalysis.com/quote/tsx/CPH/transcripts/663762-q2-2026/ (HTML; no page numbers)
- **D5.** Yahoo Finance analysis page for CPH.TO: https://finance.yahoo.com/quote/CPH.TO/analysis/
- **D6.** Q2 2026 earnings call transcript, 12 August 2026, Alpha Spread: https://www.alphaspread.com/security/tsx/cph/investor-relations/earnings-call/q2-2026 (HTML; no page numbers)
- **D7.** Cipher Pharmaceuticals, Management Information Circular, information dated as at 2 May 2025: https://www.cipherpharma.com/wp-content/uploads/2025/05/Cipher-Info-Circular-2024.pdf (page unverified)
- **D8.** Cipher Pharmaceuticals, board page: https://www.cipherpharma.com/about/board-of-directors/ (HTML; no page numbers)
- **D9.** Cipher Pharmaceuticals, "Cipher Pharmaceuticals Announces Management Change & Preliminary Q2 Financial Highlights," 29 July 2019: https://www.newswire.ca/news-releases/cipher-pharmaceuticals-announces-management-change-amp-preliminary-q2-financial-highlights-815539042.html (HTML; no page numbers)
- **D10.** Cipher Pharmaceuticals, press-release index, "Cipher Pharmaceuticals Announces the Appointment of Rajiv De Silva to its Board of Directors," 21 September 2026: https://www.cipherpharma.com/investors/press-releases/ (HTML; no page numbers). The appointment release itself was not opened.
- **D11.** Cipher Pharmaceuticals, "Cipher Pharmaceuticals Receives Favourable Decision Confirming Arbitration Award," 1 September 2026: https://www.cipherpharma.com/investors/press-releases/cipher-pharmaceuticals-receives-favourable-decision-confirming-arbitration-award/ (HTML; no page numbers)
- **D12.** Joint-run result `forecasts/CPH/collab/valuation_result_v01.json`, produced 29 October 2026 at 21:50 UTC (5:50 p.m. Toronto) by `templates/run_collaborative.py` against Finagle commit `f00ccb27943c7e5d4fd8f4b4d41352060acbe216`. Request: `forecasts/CPH/collab/valuation_request_v01.json`, forecast commit `4b17df2`. Base value per share 10.079801295361328. Bear 8.91991376114447. Bull 11.531941978440313. Terminal free cash flow to equity 19.38001322901036, 16.444175147925446 and 23.105508770434447. Equity value 248.68587566730142, 219.2072504732775 and 285.592135681883.

- **D13.** Cipher Pharmaceuticals, "Cipher Pharmaceuticals Acquires Profitable Growth Dermatology Products from ParaPRO for US$89.5 Million," 29 July 2024, listed on the press-release index: https://www.cipherpharma.com/investors/press-releases/ (HTML; no page numbers). The acquisition release itself was not opened. The $40 million draw is from D2.

Actuals

- **A1.** "Net revenue 50,451 / 33,363" (2025 / 2024, thousands of U.S. dollars). D1, p.8.
- **A2.** "Canada Product revenue 16,907 / 14,790; U.S. Product revenue 29,990 / 11,950; Licensing revenue 3,554 / 6,623; Total net revenue 50,451 / 33,363." D1, p.83.
- **A3.** "Cost of products sold 10,029 / 9,260" (2025 / 2024). D1, p.9.
- **A4.** "Adjusted EBITDA 28,057 / 15,684 / 12,719" (2025 / 2024 / 2023). D1, p.14.
- **A5.** Six months to 30 June 2026: "Net revenue 24,572", "Gross profit 19,996". D2, p.5.
- **A6.** Six months to 30 June 2026 (2025): Canada product 9,121 (8,743); U.S. product 13,187 (14,444); licensing 2,264 (2,213). D2, p.39.
- **A7.** "Adjusted EBITDA 6,842 / 7,586 / 14,552 / 13,772" (Q2 2026 / Q2 2025 / year to date 2026 / year to date 2025). D2, p.13.
- **A8.** Q2 2026: "Share-based compensation 323", "Acquisition, restructuring and other costs 259", "Total selling, general and administrative 3,439". D2, p.10. "Research and development —". D2, p.8.
- **A9.** Natroba gross margin 86% for the six months and 84% for the three months to 30 June 2026. Canadian portfolio 71% for the six months and 70% for the three months. D2, p.9.
- **A10.** Natroba decrease "was due to lower sales volumes to Medicaid covered patients in 2026 compared to 2025, arising from a reduction in number of patients covered by Medicaid programs." D2, p.8.

Guidance and management statements

- **G1.** No numeric 2026 outlook. The Q2 release lists focus areas only. D3, 12 August 2026. The Q2 MD&A has no range. D2, pp.1–22.
- **G2.** "Our expectations for the product have not changed despite market dynamics that may emerge over time. We expect performance of the product to improve in future quarters." Direct-to-patient platform and a Walmart program. D4, 12 August 2026.
- **G3.** "we believe the Canadian portfolio will continue its growth"; listing agreements "expected to be finalized over the next 30 to 60 days." Epuris share "decreased to 47.1% at June 30, 2026, from 51.3%." D4, 12 August 2026, and D2, p.8.
- **G4.** Licensing affected by "reduced product shipments to Cipher's distribution partners, which are subject to variability from period to period." D4, 12 August 2026.
- **G5.** "We ultimately determined that not continuing with the process was the right decision at this time. ... the deal did not materialize. We are currently assessing other opportunities." D6, 12 August 2026.

Estimates

- **E1.** Yahoo revenue consensus for CPH.TO, Canadian dollars, pulled via yfinance 22 October 2026: current-year average 70,849,480 (low 70,297,000, high 71,263,950); next-year average 81,352,800 (low 74,944,680, high 92,376,380); year-ago revenue 68,725,360. D5. No EBITDA consensus on that pull.
- **E2.** Same series, pulled via yfinance 29 October 2026: current-year average 70,849,480 (low 70,297,000, high 71,263,950); next-year average 81,352,800 (low 74,944,680, high 92,376,380). D5. Unchanged from E1.

Assumptions

- **S1.** Natroba's second half does not rebound. The Medicaid loss is a change in covered patients [A10]. The first-half rate of decline, rather than the second quarter's 19%, gives some credit to management's expectation of improvement [G2].
- **S2.** Natroba grows at a low-single-digit rate in FY2027E before scaling. "Growing" does not set a number. The only evidence of improvement is the Walmart and direct-to-patient work, with no dollars attached [G2].
- **S3.** Canada holds the latest quarter's growth into the second half. That quarter was Epuris volume and mix [G3]. The Canadian-dollar price is translated at the same rate as consensus [C3].
- **S4.** Canada steps up by a low-double-digit amount in FY2027E for a first full year of public listings. Management said share should "grow meaningfully in time" [G3]. No volume or price was given.

- **S5.** Licensing's second half is flat. The second-quarter dip is shipment timing [G4]. The first half was up 2% [A6].
- **S6.** Licensing is lower in FY2027E because Absorica's competitive position has already reduced volumes and share was 3.4% [D2].
- **S7.** FY2027E cash operating cost rises 3% for wage and price inflation. No cost step was announced for the commercial programs. The bear case uses 8% and the bull case uses zero, as a range around that judgment.
- **S8.** The incremental margin used after FY2027E is the average of the ending EBITDA margin and the FY2027E gross margin.
- **S9.** Sales growth in the year after FY2027E is mid-single-digit. FY2027E growth is lifted by the scale-up to consensus. There is no FY2028 evidence.
- **S10.** The explicit path is organic. The acquisition process did not close [G5], and the growth rates include no acquired EBITDA.

Calculations

- **C2.** Cash operating cost = 3.439 − 0.323 − 0.259 = 2.857. Check: Q2 gross profit 9.699 − 2.857 = 6.842, equal to reported Q2 adjusted EBITDA [A7][A8].
- **C3.** Exchange rate = Yahoo year-ago revenue in Canadian dollars, 68.725, divided by FY2025A revenue in U.S. dollars, 50.451 = 1.3622 Canadian dollars per U.S. dollar [E1][A1].
- **C6.** Each line's FY2026E is the first-half actual plus the scaled second half [A6][S1][S3][S5].
- **C8.** Licensing gross margin is the residual of first-half gross profit after Natroba at 86% and Canada at 71% [A5][A6][A9].
- **C9.** Gross margin = (revenue − cost of products sold) / revenue. FY2025A 80.1%; FY2024A 72.2% [A1] [A3].
- **C10.** Forecast gross margin is the mix of the line margins on the forecast revenue [A9][C8].
- **C11.** FY2026E adjusted EBITDA is the first-half actual plus second-half gross profit minus two quarters of cash operating cost. FY2027E subtracts four quarters grown by S7 [A7][C2][S7].
- **C12.** EBITDA margin = adjusted EBITDA / revenue.
- **C13.** Growth rates from FY2025A revenue and adjusted EBITDA to the forecast years [A1][A4][E1][C11] [S7]. FY2026E revenue growth 52.010 / 50.451 − 1 = 3.1%. FY2027E 59.721 / 52.010 − 1 = 14.8%. EBITDA 31.064 / 28.057 − 1 = 10.7%, then 36.484 / 31.064 − 1 = 17.4%.
- **C14.** Ending margin = FY2027E adjusted EBITDA / FY2027E revenue. Base 36.484 / 59.721 = 61.1%. Bear 31.295 / 55.017 = 56.9%. Bull 43.366 / 67.813 = 63.9%.
- **C15.** Ownership = 10,384,697 / 25,622,940 = 40.5% (derived) [D7].
- **C16.** Line share of FY2025A = line revenue / 50.451. Natroba 29.990 / 50.451 = 59.4%. Canada 16.907 / 50.451 = 33.5%. Licensing 3.554 / 50.451 = 7.0% [A2].
- **C17.** Present value of the terminal free cash flow = terminal FCFE / (cost of equity − terminal growth) / (1 + cost of equity)^10 (derived) [D12]. Base 19.38001322901036 / (0.10545 − 0.05045) / (1.10545)^10 = 129.30054023654424. Explicit-period present value = equity − that amount = 119.38533543075718. Terminal share = 129.30054023654424 / 248.68587566730142 = 52.0%. Bear terminal present value 109.71306909059788 (50.0%). Bull 154.1564874674724 (54.0%). Vs. price = value per share / 9.649060517549515 − 1. Base +4.5%, bear −7.6%, bull +19.5%.

Not verified

- E1 and E2 are yfinance pulls of Yahoo's page. Analyst names and the date of each estimate are not shown.
- D4 and D6 are third-party transcripts, not the company webcast.
- D7 page numbers were not recovered from the text extract. The record date and the share figures are from that circular.
- D10 and D13: only the press-release index headline was used. The appointment release and the ParaPRO release were not opened.
- D12's price is Yahoo's previous close of 13.5 Canadian dollars times Yahoo's Canadian-dollar exchange rate of 0.714745. The live quote earlier on 29 October was also 13.5, after a print near 13.77. We use the figure Finagle stored.

Appendix C – Method

We forecast only years the company has not reported. Year 0 is FY2025. The explicit window is FY2026 and FY2027, which is where the consensus and the call commentary stop. Lines are the revenue breakdown the

company already reports. With no guidance range, the revenue total is consensus and the lines are scaled to it. EBITDA is built from the latest quarter's cash operating cost because no EBITDA estimate exists. Bear and bull move the same three levers: where revenue sits in the consensus range, which gross margin we use, and FY2027 cost inflation. The joint run copies those operating leaves into Finagle and adds nothing the request did not state. Finagle supplies the market price, the share count, the risk-free rate, the cost of equity, terminal growth, and the unstated horizon, tax rate, cost of debt, tax losses, non-operating assets, working capital and payout. The value per share comes only from Finagle.